

Key focus and themes

Foreign Exchange - Asia ex-Japan/Euro Area/Europe

Strategy trades on an improving global backdrop, but watchful of local developments

Consensus for US May NFP is +93K. What scenario will see a LARGER move in the USD (post release)?

1. *NFP is 100K BELOW expectations*
2. *NFP is 100K ABOVE expectations*

- We lean further towards a US-Iran de-escalation, even though there remain a few risks in the near-term. There are some strong local factors driving FX in Asia and this is prominent in Indonesia. Other near-term focus points include US NFP and euro area/Asia inflation releases (important given rate hike pricing).
- **Asia FX:** We raise the conviction level on our long SGD/IDR to the maximum 5/5. We maintain short USD/CNH (4/5), short USD/TWD (3/5) and long EUR/INR (3/5).
- **G10 FX:** Our highest-conviction trades (conviction level 4/5) are long CHF/JPY and short AUD/NZD. We raised the conviction level on the latter this week after the RBNZ delivered a hawkish hold. Elsewhere, we maintain a long EUR/GBP position (3/5) and remain long USD/CAD (3/5).
- **Asia Rates:** We initiate a Sep-1s5s India NDOIS flattener trade into the RBI meeting next week (conviction level 3/5), and take profit on our receive Jun-1y SORA position.

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Fig. 1: Top five top-conviction strategy trades in order (scale 1-5)

★ ★ ★ ★ ★ Top 5 FX and Rates Trades ★ ★ ★ ★ ★						
Countries	Trade	bp move from start	bp move from current	Target	Timeline	Conviction (0-5) Curr (Prev)
	Long SGD/IDR	710	460	14,600	End-Aug	5 (4)
	Short USD/CNH	55	245	6.60	End-Aug	4 (3)
	Long CHF/JPY	155	160	206.5	End-Jun	4 (3)
	Short AUD/NZD	110	205	1.175	End-Aug	4 (3)
	*NEW Sep-1s5s India NDOIS flattener	0	25	25bp gain	End-Jun	3

Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 – Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.
Source: Nomura.

In last week's *Key Focus and Themes* (22 May), we reduced our negative Asia FX convictions (primarily in parts of SE Asia) owing to our view of a potential further de-escalation in the US-Iran war, with both sides announcing reduced differences. Indeed, *scope for de-escalation* emerged with Trump saying that a peace deal was "largely negotiated" (*Bloomberg*, 24 May). After the marginal reduction in short South/Southeast Asia FX convictions on 22 May, we raised the conviction level to 4/5 (from 3) on our short USD/CNH and recommended a short USDTWD (3/5) on *25 May*.

Since then, US-Iran developments have been mixed with an increase in tensions from "defensive" strikes that the US launched against Iran military targets. However, **since 28**

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May, the bias has shifted towards further de-escalation. The latest positive news is that Iran and the US are reported (*Axios*, 28 May) to have reached a tentative deal to extend the ceasefire by 60 days, reopen the Strait of Hormuz and establish a framework for broader talks on Iran's nuclear program. The reopening of the Strait is likely to suggest "unrestricted" transits, Iran not imposing tolls on ships, Iran removing all its mines in the Strait within 30 days and the US gradually lifting its naval blockade. We believe that if there is a near-term agreement from both sides, this would likely see a further drop in Brent crude oil prices, US yields, the USD and provide further support to risk markets.

That said, there are still a few concerns/risks to the US-Iran situation that (at least for now) are capping some of our convictions including: 1) Trump still not signing off on the "tentative deal"; 2) Iran's *Tasnim News Agency* (28 May) saying that "no final agreement has been reached", which was in line with Iran's parliament lawmaker's comments (i.e., Maleki; *Bloomberg*, 28 May) that there were still a number of conditions from Iran that were to be accepted by the US.

Aside from US-Iran, economic data will be important for markets, with one of the key focus points being the US May nonfarm payrolls report (5 June). The median consensus forecast of 93K (60-125K range; Nomura +110K; +115K previously) suggests that there are still expectations for a relatively strong US labour market. Following the softer-than-expected April core PCE (0.2% m-o-m; consensus 0.3%), we believe softer-than-expected NFP could see a relatively large reaction in the USD (weaker) vs. stronger release. It would also provide some support towards the doves in the Fed (especially if there is more positive progress on the US-Iran situation) – watch next FOMC 16-17 June, when Kevin Warsh comes in as the Fed Chair. **Other macro releases/events of importance will be:** a) **May euro area CPI (2 June)**, which should rise (both headline and core) and seal in a 25bp ECB rate hike on 11 June (market pricing +21bp), although the risk would be if inflation growth surprised on the downside; b) **watching the expected pickup in Asia inflation releases and support for rate hike expectations.** Specifically, Korea's May CPI (2 June; consensus forecast for core at 2.3% y-o-y from 2.2% previously) with the market pricing in around 65bp of hikes by year-end; Taiwan May CPI (5 June; consensus expects an acceleration to 2.2% y-o-y from 1.7% previously), with the market pricing in 30bp of hikes by year-end; c) **India's RBI meeting (5 June)**, with the market expecting no policy rate change (~65bp of hikes priced by year-end). We believe the market is expecting a hawkish RBI hold – in line with our economics team's expectations.

On strategy views (more details ahead), local developments in Indonesia have only weakened investor sentiment and negative BoP pressures remain – leading to consistent IDR depreciation. We raise the conviction level on our **long SGD/IDR** back to the maximum 5/5 (from 4 previously). We maintain a high conviction level on our **short USD/CNH** of 4/5 (lower fixings and strong inflows); and remain **short USD/TWD** (3/5) and **long EUR/INR** (3/5). In **G10 FX**, we lift the conviction level on our **short AUD/NZD** to 4/5 (3 previous) on growing rate cycle divergence. We also remain **long CHF/JPY** (4/5), **long EUR/GBP** (3) and **long USD/CAD** (3/5). In **Asia rates**, we maintain receive 2y fwd 2y Korea NDIRS and enter a Sep-1s5s flattener position into the RBI meeting (both conviction levels of 3/5).

Asia FX strategy

On **long SGD/IDR**, we **raise (today) the conviction level to the maximum 5/5 (from 4)**, targeting 14,600 (~13% gains; was 14,200) by end-August, with a trailing stop-loss of 1.5%. We have a growing conviction that IDR is likely to underperform on many drivers, even as the external situation (i.e., potential US-Iran deal) improves: 1) **signs of official tolerance for FX flexibility.** Despite the ~11% drop in Brent crude oil prices since 22 May (when we **lowered** the conviction level to 4/5) on **increased** scope for a US-Iran agreement, IDR has underperformed and depreciated by ~1.0% against the USD with onshore spot reaching another new high of 17,887. This may signal that BI is allowing gradual FX flexibility, which should help reduce the **drainage** of its FX reserves; 2) **a growing chorus of concerns over President Prabowo's plan to centralise exports of natural resources** (starting with palm oil, coal and iron alloys; through Danantara Sumberdaya Indonesia). *Bloomberg* reported (25 May) that the private sector and economists are **issuing severe warnings on this development**. In our view, this policy shift raises the risk for Indonesia's foreign investment outlook (i.e., the risk of divestment);

3) **the tighter export proceed rules for natural resources** (effective from 1 June) **also raise concerns over greater state control**. The share of export proceeds that must be placed in state-owned banks is set at 30% for the oil and gas (O&G) sector and 100% for the non-O&G sector. The Chinese Chamber of Commerce in Indonesia has already **flagged** this issue in its open letter to President Prabowo on 12 May 2026. Similar to the above, this regulation raises questions about possible near-term disruptions to Indonesia's goods trade and negative medium-term implications for FDI; 4) **rating agency downgrade risk. S&P has also raised issues on the centralisation of resources exports** (*Bloomberg*, 21 May), which increases the risk of **S&P shifting its rating outlook on Indonesia to negative** in June or July. S&P previously (15 April) wrote that "in Southeast Asia, we believe the sovereign ratings on Indonesia would be more vulnerable if the [Middle East] conflict drags on"; 5) **this is compounded by Indonesia's fiscal developments, outlook and BI's mandate**. Indonesia's latest April fiscal deficit remained wide at -IDR164.4trn (-USD9.3bn; March 2026: -IDR240.1trn), which is the largest outturn for April over the past 12 years (12y April average: -IDR23.3trn). We note that the current session of Indonesia's parliament (12 May to 21 July) will **start discussing the State Finance Law, as well as the expansion of BI's mandate (risk of multiple targets and the dismissal BI Board of Governors)**. Although the discussions have not turned to revision of the fiscal deficit ceiling (*Kontan*, 25 May), any suggestions of that happening will likely weigh down on IDR sentiment; 6) **Indonesia is also facing foreign portfolio outflow pressures with the deletion of certain stocks from MSCI and FTSE Russell indices**, due to shareholding concentration issues. Based on MSCI's May 2026 Index review, it will delete several Indonesian stocks from its indices (**as of US close of 29 May**), which could lead to **foreign outflows of ~USD1.7bn** (*Bloomberg*, 13 May). Furthermore, **MSCI will soon communicate on the free float assessment of Indonesia securities as part of the Market Accessibility Review scheduled for 18 June 2026 (US close)**. Investor concerns remain about possible adjustments to the foreign inclusion factor (FIF). Our discussions with market participants suggest that halving the FIF could result in foreign equity outflows of ~USD4bn; and 7) **seasonality also suggests a weaker current account balance in Q2**. From 1 to 5 June, we estimate ~USD186mn worth of dividend payments by Indonesian-listed companies to foreign investors, concentrated on 5 June (USD169mn; largest payment by *Indosat*; source: *Bloomberg*). There will also be another large payment of USD515mn by *Telekom Indonesia* (source: *Bloomberg*) on 26 June.

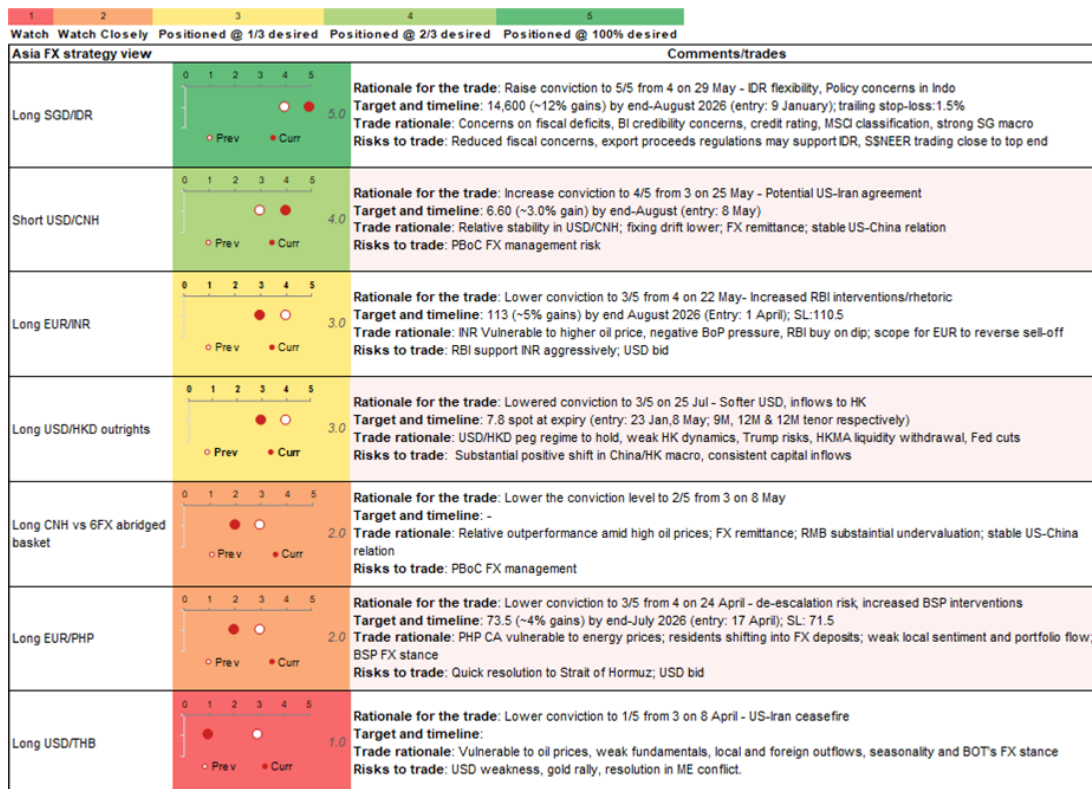
In **Singapore**, we continue to see scope for SGD to outperform, as: 1) **the economy remains resilient**. Singapore's final **Q1 GDP growth was revised up sharply to 6.0% y-o-y** (on 25 May) from the advance estimate of 4.6%. Accordingly, the MTI has also maintained its 2026 Singapore GDP growth forecast of 2-4%, in contrast with its **earlier indications** of a reduction. Industrial production (IP) growth again surprised to the upside in April (actual: 17.6% y-o-y; consensus: 12.0%; previous: 9.2%), suggesting robust growth momentum is sustained in Q2. Therefore, our economics team **revised up** our Singapore 2026 GDP growth forecast to 4.6% from 3.7%, and for 2027, to 3.0% from 2.6%. Importantly, our GDP growth forecasts suggest that Singapore's output gap will remain positive, which raises the risk of second-round inflation effects from the ongoing energy price shock; 2) **inflationary pressures are rising**. Despite April core inflation growth surprising to the downside at 1.4% y-o-y (March: 1.7%; consensus: 1.8%), the MAS statement (25 May) continues to highlight that risks to the inflation outlook are tilted to the upside; and 3) **still-stable US financial conditions (for now) and the strong Singapore macro backdrop should lead to the MAS tightening its FX policy again in July**. We expect another slight S\$NEER slope increase by the MAS, which will keep SGD supported.

In **China**, we maintain the conviction level on our short USD/CNH position at a high **4/5**, targeting 6.60 (~3% gains) by end-August. With rising scope for a US-Iran deal (see above), we are more convinced that USD/CNH can move significantly lower especially if broad USD weakens because: 1) **USD/CNH was much more sensitive to downmoves in DXY than upmoves**. Over the past two weeks, DXY was lowered by 0.25%, while CNH strengthened against USD by 0.67%. From the start of the Iran war (28 February) to date, DXY is 1.5% higher, while USD/CNH is actually 1.4% lower. During this period, the sensitivity of USD/CNH to upward moves in DXY has been low at ~24%, while USD/CNH's **sensitivity** to DXY moves lower is much stronger at ~54%; 2) **the USD/CNY daily fixing continues to drift lower**. This week, the USD/CNY fixing was lower by a daily average of 39pips, reaching a new low (since 15 February 2023) of 6.8176 today, with the positive error remaining stable at 446pips; 3) **onshore corporates are likely to continue**

repatriating USD holdings, owing to China's continued strong export growth, as well as some local expectations for RMB appreciation; 4) a **constructive backdrop for US-China relations and China's AI boom may attract more capital inflows**. This week, Huawei announced it will start making 1.4-nanometer chips by 2031 with its own "LogicFolding" architecture, which is based on Huawei's own Tau Scaling Law (*Bloomberg*, 25 May). The news adds to the positive sentiment over AI-related China stocks, which we believe could attract more inflows in the medium-term; and 5) **RMB appreciation should also be supported by its substantial undervaluation**. Based on our four FX valuation models, RMB remains undervalued by an average of 9.7%, with its productivity-adjusted REER undervalued by 19.9%.

On **Taiwan**, we initiated (on **25 May**) a **short USD/TWD position**, with a modest conviction level of 3/5, targeting 30.5 (~3% gains) by end-September. Amid a potential US-Iran agreement that could re-open the Strait of Hormuz (see above), we see scope for TWD to appreciate, driven by: 1) **a likely softer USD and a risk-positive environment if US and Iran manage to finalise an agreement to reopen Hormuz**, which should facilitate TWD appreciation against USD, alongside a broadly lower USD/Asia complex. Our expectation for CNH appreciation (see above) should also provide a tailwind for TWD; 2) **despite being highly exposed to the Hormuz energy shock, TWD has outperformed within AeJ since the onset of the Iran war, owing to the strength of its tech sector**. Therefore, we would expect TWD to enjoy a tailwind, if energy prices ease from currently elevated levels. Conversely, if the US-Iran stalemate continues, we would also not expect TWD to depreciate much; 3) **Taiwan should remain a significant beneficiary of strong global AI demand and capex**. Global tech investment shows **no signs of slowing**, as US hyperscalers have ramped up their FY2026 capex guidance in their Q1 earnings calls by ~USD55bn from their previous forecasts. Locally in Taiwan, TSMC's strong capex (~USD70bn in 2027) and **local sourcing plan** will likely be another positive catalyst for Taiwan domestic semi supply chain. Overall, we expect foreign equity inflows to remain supportive for TWD; 4) **near-term foreign equity inflows could also be supported by changes announced in MSCI's May 2026 Index review**. Our discussions with market participants suggest that Taiwan equities could enjoy net foreign inflows of USD2.7bn (**as of US close of 29 May**) from rebalancing of MSCI indices; 5) **global AI demand is, in turn, supporting robust local fundamentals**. Our economics team recently **revised up** its 2026 Taiwan GDP growth forecast to 8.4% from 8.0%, reflecting the strong AI-led export and investment cycle, which should more than offset the impact of the Middle East shock; 5) **a softer USD environment may offer some Taiwan lifers and exporters an opportunity** to consider increasing their FX hedging ratios (tactically) and reducing their USD hoarding, respectively, especially if USD/TWD swap points are in premium; and 6) **potential scrutiny from the US Treasury on Taiwan's currency practices** and macroeconomic policies. The US Treasury also released joint FX statements with several key Asian central banks, including the CBC (14 November 2025) that emphasized a commitment to not target exchange rates for competitive advantage. This may somewhat limit CBC's USD buying inclination.

In **India**, we maintain a conviction level on our **long EUR/INR position** of 3/5, targeting 113.0 by end-August with a stop at 110.5. Next week, the key focus will be on the RBI's monetary policy meeting on 5 June, where the consensus expects the RBI to **hold the policy rate steady at 5.25%**. The market will also pay attention to whether the RBI will announce any measures to maintain FX stability. Another point of focus next week will be the US team's visit to India between 1 and 4 June (*Times of India*, 28 May) to discuss the finalization of an interim trade pact. While EUR/INR has largely been stable over the last week, we believe INR is likely to structurally underperform because: 1) **the RBI is unlikely to hike policy rates to defend FX**. We believe that even if the RBI does hike, it is unlikely to provide sustainable support to INR, as was the case with **BSP** and **BI** hiking their policy rates earlier. However, if any other measures are announced to improve foreign capital flows, there might be some positiveness over INR in the short term; 2) **RBI's sustained FX drainage is likely to make it a consistent FX buyer on any dips in the USD**. We estimate that the RBI has sold USD12.6bn in spot FX reserves in the last four weeks (to 22 May); 3) **foreign portfolio flows continue to drag on INR**, with foreigners net selling USD2.5bn of Indian portfolio assets (equity + bond) MTD; and 4) **uncertainty remains over the US trade team's visit to India**, where we believe any positive headlines are unlikely to support INR by much in the current environment of elevated oil prices. However, if any disagreements emerge, it could exacerbate negative sentiment on INR.

Fig. 2: Our views on Asia FX

Note: Conviction scale: 1 – Watch; 2 – Watch Closely; 3 – Positioned @ 1/3 desired; 4 – Positioned @ 2/3 desired; 5 – Positioned @ 100% desired.

Source: Nomura

G10 FX strategy

JPY: MOF revealed it used JPY11.7trn for its intervention, and the BOJ Governor is next to address the market's inflation expectations and yen weakness

USD/JPY remains elevated at the 159 level, suggesting the market is testing the authorities' willingness to intervene. Today, Finance Minister Katayama said that the government "can take bold action if there are speculative FX moves (source: Bloomberg)," while her comments still sound less vocal than comments on 30 April just before the sharp strengthening of JPY. Following her comments, the MOF revealed that it spent JPY11.7trn (\$74bn) on its FX intervention from 28 April to 27 May. *Our client survey shows around two-thirds of respondents expect the Japanese authorities to intervene below 162*, so we view the rise in USD/JPY will be gradual from here. At the same time, with inflationary pressures from higher oil prices causing a concern, the BOJ's response is now in focus. On Wednesday, Governor Ueda is scheduled to speak, when he is likely to signal caution regarding inflation, but the market will be watching for any clearer indications about the next policy meeting in June. With less than two weeks remaining until that meeting, and substantial uncertainty surrounding Middle East developments, how strongly he signals willingness to raise rates in June will be important. Attention is also likely to be paid to any discussion about the possibility of accelerating the pace of future rate hikes to prevent falling behind the curve. For JPY, the situation in the Middle East and oil prices also matter. We maintain our *CHF/JPY long recommendations*, while monitoring Governor Ueda's communications and officials' verbal intervention.

Long CHF/JPY: SNB's interventions are likely to be measured rather than aggressive (target 206.50 by end-June, conviction 4/5)

SNB Chairman Schlegel reaffirmed willingness to intervene in FX markets amid CHF appreciation pressures from the Middle East conflict, though our estimate using the SNB's monthly FX reserve data show no significant pickup in intervention activity in March or April. We note EUR/CHF below 0.91 will likely represent a caution level for the market, owing to recent price action; however, with CHF real effective rate's appreciation being

less pronounced than nominal effective rate, we view any SNB intervention will be measured rather than aggressive. Meanwhile, the SNB's policy rate will likely remain unchanged and is unlikely to go negative any time soon, as per SNB Chairman's confidence that medium-term inflationary pressures have remained largely unchanged. These points reinforce our view that CHF depreciation driven by SNB FX intervention may occur on an occasional basis, but the policy rate will not serve be influential in weakening the currency. Therefore, we believe capital flows, such as the strong current account surplus, seasonal capital flows and safe-haven flows will continue to strongly support CHF into the end of the quarter. The risk to our trade will be more from the JPY leg, because if USD/JPY approaches the key 162 level that the market is focused on this could increase the likelihood of MOF actual intervention again. For events next week, we will have Swiss CPI for May (Nomura: 0.7%, consensus: 0.7%), the SNB's FX reserves data for May and BOJ Governor Ueda's speech on the Bank's monetary policy (on 3 June).

Long EUR/GBP: ECB's inflation expectations data will be key for a hawkish hike in June (target 0.8950 by end-June, conviction 3/5)

EUR/GBP has been trading in a tight range and has yet to move higher. The rate differential (1y1m swap rate) between the euro area and the UK has also lacked clear direction, which appears to be keeping the pair range-bound. The key question for our trade is whether the ECB can out-hawk current market pricing, which implies approximately 56bp of hikes by end-December 2026. On this front, we are focused primarily on the ECB's 1-year and 3-year inflation expectations data for April (due 1 June). These indicators delivered a significant upside surprise in the March print (released on 28 April), which have triggered ECB officials to seriously consider a hike at June's meeting. Should we see a further upside surprise next week, the likelihood of a hawkish hike in June — consistent with our house view of back-to-back hikes in June and July — rather than one framed as an insurance move, would likely increase. Flash euro area HICP inflation for May will also be released (Nomura: 3.3%, consensus: 3.3%); here, the firmness of services inflation will be particularly important for the future ECB policy rate path, as officials are becoming increasingly focused on second-round effects from the recent rise in energy prices. On the GBP side, there are no key data releases at the start of June, though the UK Makerfield by-election will take place on 18 June, in which prominent Labour candidate Andy Burnham is standing. The latest poll by Survation (conducted 18–22 May via telephone) shows Burnham leading Kenyon by a slim margin (43% vs 40%). A Burnham victory would likely discourage investors from holding a bullish view on GBP in view of his fiscal policy stance, but with his lead so narrow, we do not expect meaningful near-term GBP depreciation until there is greater clarity on the by-election outlook. Accordingly, we maintain a modest conviction on our long EUR/GBP position.

Long USD/CAD: A potential US-Iran "deal" is a headwind to our trade, while macroeconomic dichotomy will likely be more influential for this pair (target 1.4250 by end-July, conviction 3/5)

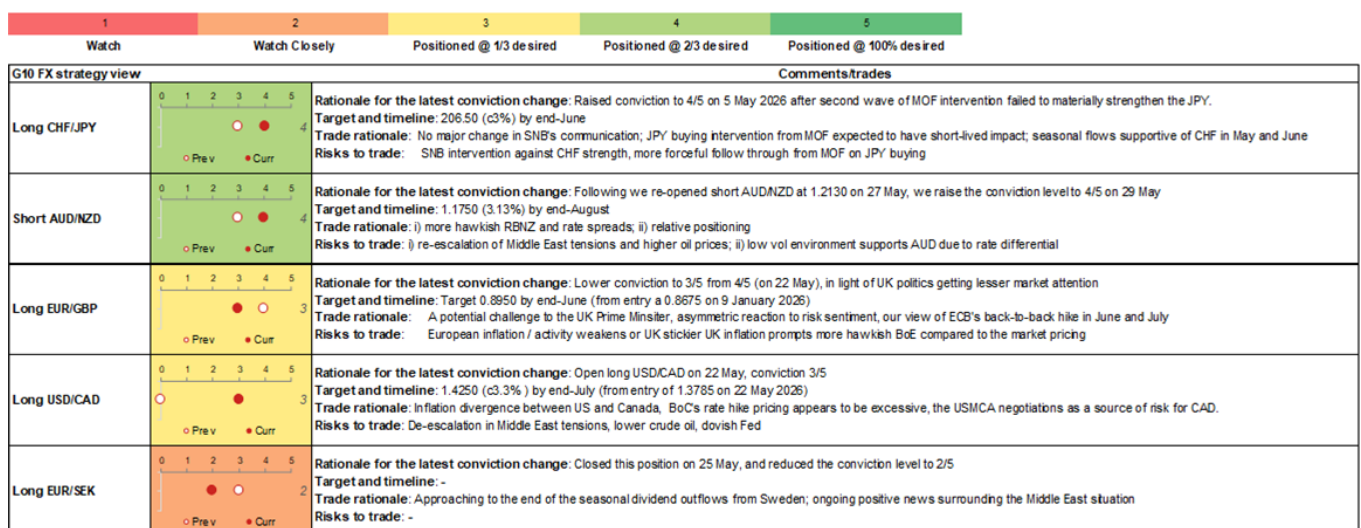
Markets are growing weary of being whipsawed by headlines, yet the prevailing view that a US-Iran deal is drawing closer has driven straightforward USD selling in the late part of this week. Should a deal materialize, the USD is likely to face additional downward pressure, which would work against our long USD/CAD position. However, the initial trigger for such USD selling would likely be crude oil selling driven by expectations of the reopening of the Strait of Hormuz, and as Canada is also an oil-producing nation, the degree to which CAD outperforms USD in that scenario should be more muted in comparison with other high-beta G10 currencies. Beyond this, the recent strength in the USD appears not solely related to the surge in oil prices, but is also associated with cyclical US economic strength. This week's US PCE inflation data for April came in slightly below market expectations, but the broader set of US economic data continue to point to underlying resilience. By contrast, the Canadian economy remains sluggish, as evidenced by the pick-up in the unemployment rate, weakening inflation pressures and deteriorating consumer sentiment data that suggest softer consumption in the coming months. This dichotomy in the macroeconomic outlook between the US and Canada makes the market's rate-hike pricing for the Fed (~15bp by end-2026) look relatively more reasonable, while the same cannot be said for the Bank of Canada (~33bp by end-2026). On a side note, the BoC confirmed that its financial system report released this week does not guide interest rate decisions, so it should not serve as an additional catalyst to be bearish on CAD. All in all, we favor long USD/CAD as an expression of US cyclical

strength without being largely affected by oil price movements. The major events next week for the pair will be labor market data for both the US and Canada, released simultaneously on 5 June.

Short AUD/NZD on positioning and growing rate cycle divergence (target 1.1750)

We *squared up a short AUD/NZD position at the start of the week*, as we saw upside risk on the Australian April CPI and thought that the RBNZ might not be able to out-hawk market rate hike pricing. However, we were surprised by the macro outcomes here, with the *Australian CPI weaker than expected*, and *the RBNZ vote split delivering a hawkish surprise*. The three internal members voted to hold, while the three external members voted to hike by 25bp, and it was only governor Breman's casting vote that prevented a hike on the day. We have brought forward our three forecast 25bp rate hikes by three months, with a first hike most likely in September, while noting that the July meeting could see a hike, if there are any signs of inflation pass-through, or if medium-term inflation expectations rise. With these developments, we *re-established a short AUD/NZD position* after the RBNZ meeting, raising the conviction level back to 3/5 (from 2/5) and targeting a move to 1.1750 by end-August. The most recent developments are adding to our confidence with respect to this trade; the New Zealand budget appears to be expansionary for 2026-27, but still managed to deliver a better longer-term budget balance and lower debt issuance projections, and assistant governor Karen Silk today noted that a 50bp rate hike in July was an option. **With these latest developments, we now raise the conviction on this position to 4/5.** Our focus next week turns to Australia's Q1 GDP report, which should reveal firm but dated growth, and communications from the RBA governor and assistant governor.

Fig. 3: Our views on G10 FX



Source: Nomura

Asia rates strategy

Korea: Curve likely to flatten into BOK hike, stay received 2y fwd 2y (conviction 3/5)

We have been recommending a receive 2y fwd 2y NDIRS position both into and after the BOK policy meeting, despite it being a hawkish meeting when new BOK governor Shin essentially opened the door to a July hike. That said, history suggests rates beyond the front-end need not necessarily go higher into a looming hiking cycle. This is because the market usually runs ahead of central bank moves. The more likely scenario is the swap curve flattens into the first hike. Another factor supporting flatteners is Korea's overall stable fiscal dynamics. Together with WGBI inflow, we think long-end Korea rates will see better support.

For next week, the focus is on May export data and CPI, in particular the latter, as it could influence the implied pace of BOK hikes. With the market already expecting a further rise in May's CPI (from 2.6% in Apr to 2.9% in May), we believe risk-reward is towards receive rates into this number. We maintain a receive 2y fwd 2y position, though with only a conviction level of 3/5 for now (current level 4.02%, indicative DV01 1.5k, target 3.75% by end-June), as market volatility could remain high near term. It is also likely that the 3m CD

fixing will go higher into the July policy meeting, but it should primarily affect swap rates only up to the 2y point.

India: Initiate a 1s5s NDOIS flattener position into RBI (conviction 3/5)

After this week's rally in India rates, we view risk-reward attractive to enter a Sep-1s5s flattener position, with extra pay the 1y leg (DV01 ratio 1.5:1) at a conviction level of 3/5. We target a 25bp gain by end-June. The OIS market is currently pricing in around 18bp of tightening (policy rate change + liquidity tightening) for the June meeting. While this is clearly greater than the consensus expectations, the market is likely pricing in a range of probabilities for a 25bp hike, a 50bp hike, no change, and additional uncertainty on liquidity can affect the pricing. A shift towards a tighter stance could see the MIBOR repo spread shift, and this needs to be factored in as well.

In terms of how we expect the market to react: 1) in any hiking scenario, we would expect the curve to bear flatten, as despite extensive pricing for further tightening, the market is likely to over-react owing to positioning and confirmation that the RBI is now back in a hiking cycle. In the past, the curve has also flattened when the RBI started tightening; 2) in a hold scenario, we would expect the curve to bull steepen, although we think the move lower will be limited. The market's rationale behind hiking to defend the currency and rising inflation remains. While the RBI may avoid hiking, the market will likely just delay the hikes with the implied view that the RBI is falling behind the curve.

Singapore: Take profit on receive Jun-1y SORA

This week, Singapore rates moved lower with some beta to the rally in US rates. We now take profit on our receive Jun-1y position (current 1.26%). While the SORA fixing has continued to move lower over the past week to 0.76% currently, we believe the risk is towards a higher fixing, as we are likely at the bottom end of the range. Similarly, for the 1y swap, we feel it is more prudent to take profit here and choose to add back later at better levels.

China: Pay Jun-3y NDIRS with moderate conviction 3/5

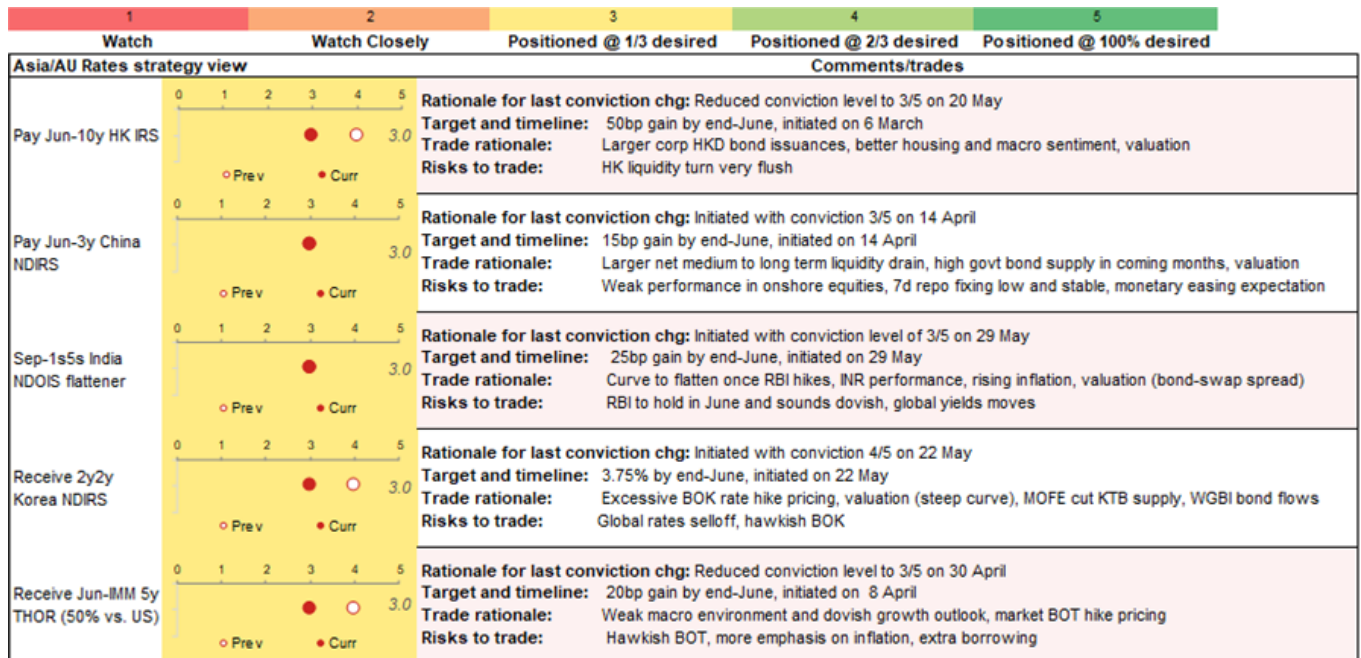
This week, China rates saw a more significant rally of 4-6bp across the curve, owing to flush liquidity. Despite the pickup in weekly LGB issuance and month-end funding needs, the PBoC net injected RMB100bn via 1y MLF and conducted a relatively large amount of OMOs earlier this week. These actions dispelled market concerns over a potentially tighter liquidity and resulted in large bond buying flows in 30y CGBs and 5-10y CGBs/CDBs from onshore funds and securities firms. On Tuesday, Bloomberg reported that the 1y MLF rate declined by 5bp to 1.45%, and then on Wednesday, Wind reported that local governments guided rural banks to invest more in bonds than NCDs (source: Wind). We would not over interpret the drop in the 1y MLF rate, as 1.45% is similar to the 1y NCD yield, and it just means the banks now face roughly the same cost when borrowing from the PBoC or from the interbank market. On rural banks' bond holdings, our data show that rural banks actually continued to sell CGBs/policy bank bonds and add NCDs this week (the same as what they did in past few months), and the large inflows into high-grade bonds were from funds and securities houses (as mentioned above). Still, the most important factor behind the strong rally in recent days remains loose funding. While this week's move clearly went against our recommendation to pay China, key resistance levels (1.50% for 5y NDIRS) still hold for now. We maintain a moderate conviction level of 3/5 in pay Jun-3y NDIRS, but set a reassess level at 1.42% just below the July 2025 low. We also watch out for the liquidity situation next week (RMB909bn of 7d OMOs due next week, PBoC's May CGB purchase to be released on 2 June, RMB800bn of 3m ORR maturing on 5 June), as well as PMI data.

Australia rates: All square, as the market moves towards our short end view

Australian rates outperformed as global yields rose over prior weeks, but have underperformed this week as global bonds rallied back. It is possible that this recent underperformance has been influenced by hawkish *RBNZ* and *BOK* developments this week, although we see the direction of causality as running from the RBA, which has already delivered three 25bp hikes this year. This relative Australian rate underperformance came despite *a weaker-than-expected April CPI report*, which contained part noise, but part signal in our view. The decline in short-end yields has brought the market closer to our RBA view, which remains that the rate hike cycle is most likely over, while conceding that risk likely still tilts up rather than down. With this rally we see few opportunities at the short-end of the curve. At the margin, the market is pricing a

little more hiking than in our base cases, both in Australia and in the US, and with this, we have no near-term bias in the 10-year Australia-US rate spread, while noting Australia's superior deficit and debt metrics and strong global support (ex-Japan). The highlights next week include the Q1 GDP report and communication from the RBA governor and assistant governor. Separate data suggest that Australia recorded a solid pace of growth in Q1, with our tracking sitting at a very respectable 0.7% q-o-q and 2.9% y-o-y. However, two-thirds of Q1 preceded the oil crisis in the Middle East, so we would not overplay this now-dated release, noting also the decline in April household spending revealed this week.

Fig. 4: Our views on Asia and AUD rates



Source: Nomura

Previously, we asked "Do you expect the US and Iran to agree to a reopening of the Strait of Hormuz in the next two weeks?", **54.4%** chose "yes" and **45.6%** chose "No".

Please see [Strategy portfolio update](#) (7 May 2026) for our full portfolio.

Fig. 5: Trade ideas

Trade	Target	Timeline	Conviction (0-5)	Entry Date
<i>*NEW Sep-IMM 1s5s India NDOIS flattener</i>	25bp gain	end-Jun	3	29-May-26
Short AUD/NZD	1.1750	end-Aug	4	27-May-26
Short USD/TWD	30.5	end-Sep	3	25-May-26
Long EUR/PHP	-	-	2	25-May-26
Long USD/CAD	1.425	end-Jul	3	22-May-26
Receive 2y2y Korea NDIRS	3.75%	end-Jun	3	22-May-26
Short USD/CNH	6.6	end-Aug	4	8-May-26
Long 12m USD/HKD	7.8	12-May-27	3	8-May-26
Long CNH vs 6FX abridged basket	-	-	2	8-May-26
Long CHF/JPY	206.5	end-Jun	4	30-Apr-26
Long EUR/SEK	-	-	2	17-Apr-26
Pay Jun-3y China NDIRS	15bp gain	end-Jun	3	14-Apr-26
Receive Jun-IMM 5y THOR (50% vs. US)	20bp gain	end-Jun	3	8-Apr-26
Long EUR/INR	113	end-Aug	3	1-Apr-26
Pay Jun-IMM 10y HK IRS	50bp gain	end-Jun	3	6-Mar-26
Long USD/THB	-	-	1	2-Feb-26
Long 9m USD/HKD	7.8	27-Oct-26	3	23-Jan-26
Long 12m USD/HKD	7.8	27-Jan-27	3	23-Jan-26
Long SGD/IDR	14,600	end-Aug	5	9-Jan-26
Long EUR/GBP	0.8950	end-Jun	3	9-Jan-26

Source: Nomura

Fig. 6: Global FX forecasts

		29-May	Q2 26	Q3 26	Q4 26	Q4 27
G10						
US Dollar Index	(DXY)	99.11	98.70	95.80	95.00	92.60
Japanese yen	(USD/JPY)	159.3	157.5	155.0	152.5	145.0
Euro	(EUR/JPY)	185.5	183	186	186	181
	(EUR)	1.16	1.16	1.20	1.22	1.25
Swiss Franc	(CHF)	0.78	0.79	0.76	0.74	0.72
	(EUR/CHF)	0.91	0.92	0.91	0.90	0.90
British Pound	(GBP)	1.34	1.33	1.34	1.36	1.38
	(EUR/GBP)	0.87	0.87	0.90	0.90	0.91
Australian Dollar	(AUD)	0.72	0.69	0.71	0.73	0.75
Canadian Dollar	(CAD)	1.38	1.39	1.37	1.35	1.35
New Zealand Dollar	(NZD)	0.60	0.58	0.60	0.62	0.65
Norwegian Krone	(EUR/NOK)	10.77	11.30	11.00	11.00	11.00
Swedish Krona	(EUR/SEK)	10.78	10.80	10.60	10.50	10.50
Asia						
Chinese Renminbi	(CNH)	6.77	6.75	6.60	6.50	6.30
	(CNY)	6.77	6.75	6.60	6.50	6.30
Hong Kong Dollar	(HKD)	7.835	7.840	7.820	7.800	7.790
Indonesian Rupiah	(IDR)	17874.0	17150	17000	16900	16600
Indian Rupee	(INR)	95.0	94.5	94.0	93.5	92.0
Korean Won	(KRW)	1507.9	1525	1500	1470	1420
Malaysian Ringgit	(MYR)	3.96	4.03	4.02	4.01	3.99
Philippine Peso	(PHP)	61.6	60.6	60.0	59.7	59.0
Singapore Dollar	(SGD)	1.278	1.280	1.255	1.240	1.215
Thai Baht	(THB)	32.6	33.2	32.8	32.0	31.3
Taiwan Dollar	(TWD)	31.4	31.9	31.3	30.8	30.0
CEEMEA						
Turkish Lira	(TRY)	45.9	46.5	48.0	49.5	56.0

Source: Bloomberg, Nomura.

Fig. 7: Rates forecast

As of 29-May		Current	Q2 26	Q3 26	Q4 26
CNY	10y CGB yield	1.72	1.85	1.90	1.95
KRW	10y KTB yield	4.07	3.75	3.70	3.60
TWD	10y TGB yield	1.64	1.50	1.55	1.55
THB	10y ThaiGB yield	2.31	2.00	1.75	1.75
IDR	10y IndoGB yield	6.72	6.50	6.25	6.00
INR	10y IGB yield	7.00	7.00	7.00	7.00
SGD	10y SIGB yield	2.03	2.25	2.25	2.25

Source: Nomura

Appendix A-1

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